

Subject Code	AF5143
Subject Title	Corporate Compliance
Credit Value	3
Level	5
Normal Duration	1-semester
Pre-requisite/ Co-requisite/ Exclusion	None
Objectives	This subject aims to impart students with a practical and theoretical understanding of the knowledge and skills required in corporate governance, corporate administration, corporate secretaryship and compliance. It enables students to analyse the implications of various corporate governance issues in corporate administration, corporate secretaryship and compliance, to take responsibility for the administration of corporate resources in compliance with external and internal regulations, to apply core skills in corporate management and to effectively manage corporate resources.
Intended Learning Outcomes	On completing this subject, students will be able to: (a) demonstrate an understanding of the scope, role and functions of the governance professional and the differing responsibilities of the company secretary, the board, management, shareholders and other stakeholders; (b) demonstrate an understanding of the nature and principles of the company's regulatory requirements and best practices and their interpretation and practice in the governance professional function to ensure compliance; (c) apply appropriate judgment to advise the board on the expectations of and compliance with regulatory requirements as well as on matters relating to various governance and compliance issues under the law and regulations relating to shares, share capital, information technology and data compliance; and (MCG Outcome 8)

	(d) apply appropriate judgement to advise the board on various governance and compliance issues such as continuing obligations, notifiable, connected transactions, etc. under the Listing Rules. (MCG Outcome 3)
Subject Synopsis/ Indicative Syllabus	<u>The role of the company secretary</u> The role, functions and duties. Appointment and vacation. Relationship with the chairperson and directors. As an adviser to the chairperson, chief executive and directors. Dissemination of information and decisions. Communication with stakeholders. <u>The directors and board</u> Types of directors. Recruitment, appointment, re-appointment and rotation. Roles, duties, responsibilities and mandates. Retirement, removal and disqualification. Succession planning. Directors' and officers' indemnification and liability insurance. Co-option. Board evaluation. Best practices, policies and procedures. <u>Members and trust or company service provider (TCSP)</u> Member definition. Restrictions on membership. Shareholders. Share pledge. Other types of members. Member activism. Articles of association. Unfair prejudice. Derivative action claims. Membership. Trust or company service provider. Exemptions. Fit and proper test. Continuing AML compliance obligations. <u>Company compliance</u> Company formation. Filing of company returns. Offences under the relevant corporations or associations legislation. Hong Kong corporate governance overview. Mergers, de-mergers, arrangements and reconstructions. Takeovers and acquisitions. Culture and corporate behaviours. Share schemes. Company insolvency, dissolution and restoration. Dormant companies. <u>Annual or integrated report and external audit</u> Roles and duties of company secretary in preparing the financial statements. Statutory, regulatory and listing requirements. Narrative reporting. Disclosure of financial statements. Legislative and other developments. Role and responsibilities of the company secretary in the external audit. Independence of external auditors. Role, appointment, rotation, termination of the

	auditor. <u>Securities exchange listing regime</u> Listing requirements. Ongoing reporting, filings and compliance. Insider dealing. Dematerialisation. <u>IT and data compliance</u> Role and responsibilities of the company secretary in IT and data security. Data privacy law compliance. Governance issues in using IT and data for various business activities. Inside information for IT and data security breach. Application of General Data Protection Regulation. Public access to corporate information. <u>Maintenance of records</u> Statutory registers. Location of records and registers. Access to records and registers. Minute books. Meeting materials/board papers. Financial records. Corporate records. Company secretarial software. Minutes and minute books. Oversight by regulators. Regulation and disclosure. Non-Hong Kong company. <u>Meetings</u> Meetings of shareholders and members. Meetings of the board and its committees. <u>Shares, share capital, share register and debt capital.</u> Regulation of the securities industry. Types of shares and debt capital. Share capital. Company shares registrar function. Share transfers. Transmission of shares. Registration of documents affecting title. Share certificates. Distributions. Rights and warrants, debentures and bonds. Capital events and role of share registrar. Share option schemes and share award schemes. <u>Continuing obligations of listed companies</u> Continuing obligations. Notifiable transactions. Connected transactions.
Teaching/Learning Methodology	Lectures will explain and emphasize the key principles and concepts and will assist students in the assimilation of basic theory, together with its practical application to the workplace. Lectures will be conducted in an interactive manner requiring prior preparation. Lectures promote student participation in the learning process through discussion, case analysis and problem-solving. Students

	are expected to apply subject knowledge to corporate governance, corporate administration, corporate secretaryship and compliance.						
Assessment Methods in Alignment with Intended Learning Outcomes	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)				
			a	b	c	d	
	1. Participation	5%	√	√	√	√	
	2. Assignment	15%	√	√	√	√	
	3. Test	30%	√	√	√	√	
	4. Final examination	50%	√	√	√	√	
	Total	100%					
Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes: <u>Participation</u> It allows students to freely share their views and practical experiences, critically evaluate the key issues, make a recommendation and create their independent thinking in achieving good corporate secretaryship and compliance in governance best practices at the workplace. Students are required to critically apply the corporate secretaryship and compliance issues in directors, officers, members, company secretaries and governance professionals, regulatory requirements under the company and securities laws and the Listing Rules, non-Hong Kong companies, IT and data governance and compliance, shares and share capital, maintenance of records, annual report, external audit, board and general meetings, company dissolution and continuing obligations of listed companies. <u>Assignment, test and final examination:</u> It requires students to: identify various regulatory compliance and corporate governance issues in organizations in Hong Kong and							

	critically apply the corporate secretaryship and compliance issues in directors, officers, members, company secretaries and governance professionals, regulatory requirements under the company and securities laws and the Listing Rules, non-Hong Kong companies, IT and data governance and compliance, shares and share capital, maintenance of records, annual report, external audit, board and general meetings, company dissolution and continuing obligations of listed companies. <i>To reflect the significant technology content in this subject, 10% of the overall weighting of this subject is based on individual assessment concerning technology-related knowledge.</i> <i>To pass this subject, students are required to obtain Grade D or above in BOTH the Continuous Assessment and Examination components. Besides, the specific requirements on individual assessment components discussed above could be adjusted based on the pedagogical needs of subject lecturers.</i>	
Student Study Effort Expected	Class contact:	
	▪ 13 weeks of 3 hours lecture each	39 Hrs.
	Other student study efforts:	
	▪ Students are expected to prepare for the lectures, pre-assigned readings and cases, class participation, group presentation, test and final examination.	78 Hrs.
	The total student study effort	117 Hrs.
Reading List and References	<i>Principal Readings</i> 1. The HKCGI Chartered Governance Qualifying Programme study text. (Latest version) 2. Cheng, P. W., Sum, A. and Yuen, F. (2021). <i>The Hong Kong Company Secretary's Handbook: Practice and Procedure</i>. (11th)	

ed.). Hong Kong: Pearson

3. Publications and Press Releases - Information Pamphlets, issued by the Companies Registry (CR)
<http://www.cr.gov.hk/en/publications/information.htm>
4. Guidance Notes, published by HKCGI
<https://www.hkcgil.org.hk/thought-leadership/guidance-note>
5. Rules Governing the Listing of Securities on The Stock Exchange of Hong Kong
<http://www.hkex.com.hk/eng/rulesreg/listrules/rulesandguidelines.htm>
6. Publications and Guidelines - issued by the CR
<http://www.cr.gov.hk/en/publications/circulars/guidelines.htm>
7. HKCGI, Online Study Text: *Corporate Secretaryship and Compliance*, latest edition, Wolters Kluwer.

Websites

1. Hong Kong e-Legislation (Cap. 622 Companies Ordinance; Cap. 32 Companies (Winding up and Miscellaneous Provisions) Ordinance; and Cap. 571 Securities and Futures Ordinance)
<http://www.elegislation.gov.hk>
2. Companies Registry
<http://www.cr.gov.hk>
3. Monthly journal of HKCGI – CSJ
<http://www.hkcgil.org.hk>
4. The Chartered Governance Institute
<http://www.cgi.org.uk>
5. The Hong Kong Chartered Governance Institute
<http://www.cgi.org.hk>
6. The Stock Exchange of Hong Kong Limited
<http://www.hkex.com.hk>

	<u>http://www.hkexnews.hk</u> 7. Office of the Privacy Commissioner for Personal Data <u>http://www.pcpd.org.hk</u>
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